Foreign Investor Order Flow and Next-Day Returns on the Vietnamese Equity Market

SIQuant Research[1]

[1]Hypothesis × Quant

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Abstract

Hypothesis: H_0: foreign flow imbalance on day t has no relation to the VN-Index return on $t+1$; H_1: the relation is positive
Data: 2,027 sessions, 2018-08-30 to 2026-10-22; imbalance aggregated over up to 65 stocks
Method: OLS with Newey–West HAC errors (5 lags) and a 2,000-draw circular-shift placebo; ACCEPTED only if both one-sided $p < 0.05$
Results: $\beta = 0.0010$ (HAC $t = 0.64$, $p = 0.2610$; placebo $p = 0.3068$), $R^2 = 0.0002$; controlling for the same-day return $t = 0.20$.
Research decision: **REJECTED**

1 Design

Vietnamese exchanges publish foreign buy and sell values at the end of each session. The imbalance is therefore known at the close of day t and is paired with the return of day $t+1$ only. Sessions with zero reported foreign turnover are vendor gaps and are dropped, never filled. Foreign ownership limits make flows informative or merely price-following, see Griffin et al. [2004].

2 Results

The contemporaneous correlation between the imbalance and the same-day return is 0.134, so flows largely follow returns. With the same-day return as a control the coefficient on the imbalance is 0.0003 ($t = 0.20$).

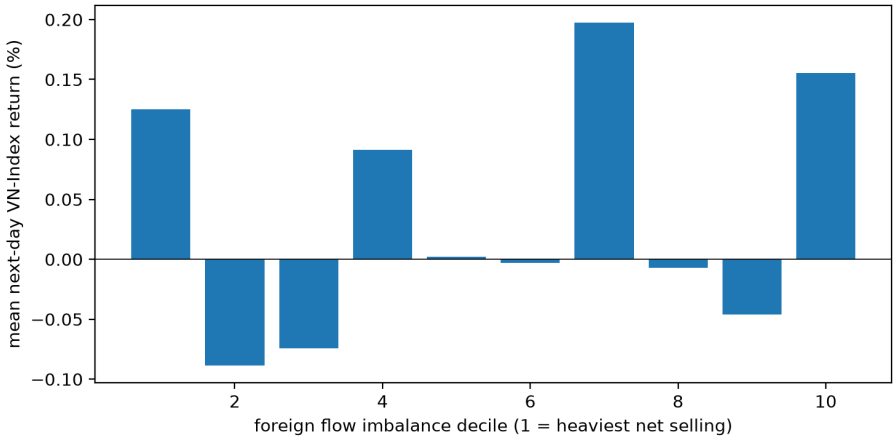


Figure 1: Mean next-day VN-Index return by decile of the foreign flow imbalance.

3 Limitations

The 65 stocks are those currently tracked, so delisted names are missing. Flows are aggregated in VND without adjustment for market capitalisation.

References

John M Griffin, Federico Nardari, and René M Stulz. Foreign investor flows and stock returns. *Review of Financial Studies*, 17(4):1093–1131, 2004.